

BUS63-2

Tech & Platform Strategies

Platform economics, network effects, multi-sided markets, SaaS metrics, ecosystems, data moats, and strategy under uncertainty

Strategy reasoning tested against the domains where classical frameworks partially break.

Albert School — 22 hours

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1 Pipeline vs platform economics

This course is the Evolve stage of the Strategy arc. It applies the principles of BUS23-2 (defensible advantage, unit economics) and BUS33-2 (competitive dynamics, strategic coherence) to the technology and platform economy, where network effects, SaaS unit economics, and AI reshape the sources of differentiation. The starting move is to distinguish the two basic economic architectures.

Definition 1 A **pipeline** business creates value through a linear sequence of activities: it sources inputs, transforms them, and sells the output to customers. Value is **created** by the firm's own activities and **captured** through the margin between input cost and output price.

Definition 2 A **platform** business creates value by enabling direct interactions between two or more groups of participants (producers and consumers). Value is **created** by the participants' interactions, which the platform facilitates but does not itself produce; value is **captured** by taking a share of, or charging for access to, those interactions.

Common pitfall Five Forces (BUS33-2) was built for pipeline industries with distinct firms, suppliers, and buyers. It applies **differently** to platforms: the same actor can be both supplier and buyer, the most important "competitive" asset is the installed base of participants rather than industry structure, and barriers to entry arise from network effects rather than scale or capital. The forces must be reinterpreted, not mechanically transferred.

Exercises

1. For a named business, classify it as pipeline or platform and describe how it creates value and how it captures value.
2. Explain why Five Forces applies differently to that business if it is a platform, identifying at least two forces whose interpretation changes.

2 Direct and indirect network effects

Definition 3 A **network effect** exists when the value of a product to a user increases as more users adopt it. A **direct** (same-side) network effect arises when value to a user rises

with the number of users **on the same side** (e.g. a communication network). An **indirect** (cross-side) network effect arises when value to users on one side rises with the number of users **on the other side** (e.g. more buyers attract more sellers, and vice versa).

Definition 4 A self-reinforcing **flywheel** occurs when growth on one side increases value on another side, which drives further growth — a positive feedback loop. A **congestion** (negative network) effect occurs when additional users **reduce** value to existing users (crowding, lower match quality, spam). Whether a platform’s network effects constitute a durable moat depends on whether the reinforcing loop dominates congestion at the relevant scale.

Exercises

3. For a real platform, identify its direct and indirect network effects and determine whether they form a self-reinforcing flywheel or are offset by congestion.
4. Assess whether those network effects constitute a durable moat, stating the condition on which the judgement depends.

3 Multi-sided markets

Definition 5 A **multi-sided market** is one in which a platform serves two or more distinct groups of participants (“sides”) whose demand is interdependent through cross-side network effects. Identifying the **sides** is the first analytical step.

Definition 6 In a multi-sided market the platform typically chooses a **subsidised side** — the group it attracts at low or negative price because its presence creates value for the other side — and a **monetised side** — the group from which it extracts revenue. The choice is governed by which side is more price-sensitive and which side’s participation more strongly drives the other’s.

Definition 7 **Bootstrapping** is the strategy for solving the chicken-and-egg problem of launching a platform with no participants on either side, so as to reach **critical mass** — the installed base at which the platform becomes self-sustaining. Tactics include subsidising one side, seeding it directly, or beginning from a single-side standalone use.

Exercises

5. For a real case, identify the sides of the market, the subsidised side, and the monetised side, and justify the split.
6. Evaluate the platform’s bootstrapping strategy against the critical-mass conditions it had to meet.

4 Winner-takes-most dynamics

Definition 8 A **winner-takes-most** market is one in which increasing returns (strong network effects, high fixed and low marginal costs) concentrate the market on one or a few dominant players. The structural conditions are strong network effects, high switching costs, and economies of scale on the supply side.

Definition 9 The **limits of dominance** are the conditions under which winner-takes-most does **not** hold:

- **Multi-homing** — participants use several platforms at once, weakening any one platform's lock-in;
- **Niche competition** — differentiated entrants serve segments the dominant platform serves poorly;
- **Regulatory or trust constraints** — antitrust action or loss of user trust caps the dominant player's share.

Exercises

7. For a named market, evaluate whether winner-takes-most conditions hold, citing the structural conditions present or absent.
8. Identify the conditions under which dominance is limited in that market — multi-homing, niche competition, or regulatory/trust constraints.

5 Strategic SaaS metrics

The unit-economics vocabulary defined in BUS23-2 (CAC, LTV, LTV/CAC) is here extended to the recurring-revenue metrics specific to SaaS and read as indicators of strategic health.

Definition 10 Core SaaS metrics:

- **ARR** (Annual Recurring Revenue) — annualised value of recurring subscriptions;
- **Churn** — the rate at which customers (or revenue) are lost over a period;
- **NRR** (Net Revenue Retention) — revenue this period from last period's cohort, including expansion and net of churn and contraction; NRR above 100% means the existing base grows without new customers;
- **CAC** (Customer Acquisition Cost) and **LTV** (Lifetime Value), with the **LTV:CAC** ratio measuring acquisition efficiency.

Definition 11 Viability thresholds by growth stage: the levels of these metrics that signal health depend on the company's stage. Early-stage companies are read primarily on growth rate and CAC payback; later-stage companies are read on NRR, churn, and a sustainable LTV:CAC ratio. The same metric value can be healthy at one stage and alarming at another, so thresholds must be named for the stage in question.

Exercises

9. For a real company, interpret its strategic health from ARR, churn, NRR, CAC, and LTV:CAC.
10. Name the viability thresholds that apply at that company's growth stage and state whether the company meets them.

6 Ecosystem and API strategy

Definition 12 An **ecosystem strategy** extends a platform by enabling third parties to build complementary products on top of it; an **API strategy** governs the programmatic interfaces through which those parties connect. Both can create **platform lock-in**: once third parties and customers have built on the platform's interfaces, switching away imposes high costs.

Definition 13 The **make-build-buy-partner** decision determines how a platform obtains a capability or complement: build it internally, buy it through acquisition, or partner with an external provider. The choice rests on explicit trade-offs — strategic importance, time, cost, control, and the risk of strengthening a competitor.

Definition 14 **Platform portfolio management** is the coordination of a firm's multiple platforms and products as a portfolio rather than in isolation, illustrated by Alphabet, Meta, and Microsoft, where individual platforms reinforce one another and share infrastructure.

Exercises

11. For a named platform, evaluate its ecosystem or API strategy as a source of lock-in.
12. Justify a build-vs-buy-vs-partner decision on that case, stating the explicit trade-offs.

7 Data flywheels and data moats

Definition 15 A **data flywheel** is a loop in which more usage produces more data, which improves the product (e.g. a model), which attracts more usage. A **data moat** is a defensible advantage arising when this loop produces data a competitor cannot replicate.

Definition 16 The **replication test** asks whether a competitor with comparable resources could obtain or reconstruct the same data and thereby match the advantage. A claimed AI advantage is **structurally durable** only if it fails the replication test for rivals — the data is genuinely hard to replicate — and is otherwise merely a **temporary** or **first-mover** advantage dressed as a moat.

Common pitfall A first-mover **narrative** (“we have the most data”) is not the same as a structural moat. The replication test, not the size of the current data set, separates structural advantage from a head start that competitors can close.

Exercises

13. For a company claiming an AI advantage, apply the replication test to decide whether the advantage is structurally durable or imitable.
14. Distinguish, on that case, structural advantage from a first-mover narrative.

8 Disruption in platform markets

Definition 17 Christensen's asymmetric disruption: an entrant attacks from below (or from a new consumption form) with an offering that is inferior on the incumbent's established metrics but good enough for an under-served or non-consuming segment, then improves until it displaces the incumbent. The asymmetry is that the incumbent's rational focus on its most profitable customers makes ceding the low end the locally correct choice.

Definition 18 Applied to platform markets, disruption can take the form of **new consumption forms** and shifts in **digital identity** that reshape how users access value. The analyst must identify the specific **disruption mechanism** at work, not merely label a change "disruptive."

Definition 19 An incumbent's failure to respond may be **rational inertia** — declining to defend a segment that is currently unprofitable to serve — or a **strategic error** — misjudging the trajectory of the entrant. Distinguishing the two is the point of the analysis.

Exercises

15. Apply Christensen's disruption logic to a platform-market case and identify the specific disruption mechanism.
16. Assess whether the incumbent's response is rational inertia or strategic error.

9 Cross-functional coherence audit

Definition 20 A **cross-functional coherence audit** compares a company's **declared strategy** against the evidence of its actual choices, using public data:

- **capital allocation** — where money is invested;
- **engineering investment** — where technical effort goes;
- **operational design** — how the organisation is structured to operate;
- **hiring patterns** — what roles and skills the company is recruiting.

Coherence means these align with the declared strategy; **contradictions** between declaration and action are the diagnostic output and must be interpreted, not merely listed.

Exercises

17. Conduct a cross-functional coherence audit of a real company on public data, comparing declared strategy against capital allocation, engineering investment, operational design, and hiring patterns.

18. Interpret the contradictions the audit reveals.

10 Strategy under uncertainty

Definition 21 **Structurally different scenarios** are descriptions of futures that differ in their underlying logic — not merely optimistic and pessimistic variants of a single forecast — used to test a strategy against qualitatively distinct worlds.

Definition 22 A **strategy stress-test** runs a company's strategy against each scenario to identify which elements are **robust** (hold across scenarios) and which are **fragile** (depend on one scenario obtaining).

Definition 23 The **pyramid** recommendation structure (Minto) states the governing conclusion first, then the supporting arguments, then the evidence — enabling a defensible recommendation to be delivered under a time constraint.

Exercises

19. Construct structurally different scenarios for a tech market and stress-test a company's strategy against them, identifying robust and fragile elements.

20. Produce and defend a unified competitive analysis of a real tech company — integrating platform economics, SaaS metrics, ecosystem positioning, and AI strategy — in pyramid structure under a time constraint.

This course supplies the competitive-logic foundation that BUS63-4 Strategic Allocation (the S6 Allocate capstone) converts into portfolio and capital-allocation decisions under AI uncertainty.